

High-chance portions — econ-basics

Combined original study articles for this topic's highest-probability PYQ themes.

Inflation, Monetary Policy & Banking

~48% · [Inflation indices](#) · [RBI/MPC](#) · [Monetary tools](#) · [Banking regulation](#)

CPI/WPI, MPC, repo tools and banking basics — core every Prelims.

Why UPSC asks this

Macro price stability is policy-central and definition-rich for MCQs.

Inflation literacy

Distinguish CPI vs WPI coverage; headline vs core; demand-pull vs cost-push stories. Know why food/fuel volatility matters for Indian CPI.

Monetary policy

Inflation targeting framework; MPC composition idea; transmission via banks. Liquidity tools beyond repo. Financial inclusion and digital payments as adjacent banking themes.

Must remember

- CPI headline for inflation targeting (4% $\pm$ 2% flexible IT framework)
- Repo, reverse repo, CRR, SLR, OMO
- MPC decides policy rate

Fiscal Policy, Budget & National Income

~45% · Fiscal deficit · Budget terms · GDP/GVA

Deficits, Budget jargon and GDP/GVA concepts UPSC recycles yearly.

Why UPSC asks this

Budget documents create a predictable vocabulary test each year.

Deficit grammar

Revenue deficit signals dissaving on revenue account; fiscal deficit is borrowing need; primary deficit strips interest. FRBM spirit — sustainability.

National income

Production/income/expenditure approaches at idea level; base year revisions; limitations of GDP as welfare.

Must remember

- Fiscal, revenue, primary deficits — definitions
- Capital vs revenue expenditure/receipts
- GDP vs GVA; nominal vs real